LONG-FORM RESEARCH · AI AND POLITICS

The Data-Centre Backlash: How the Midterms Hit the AI Build-Out

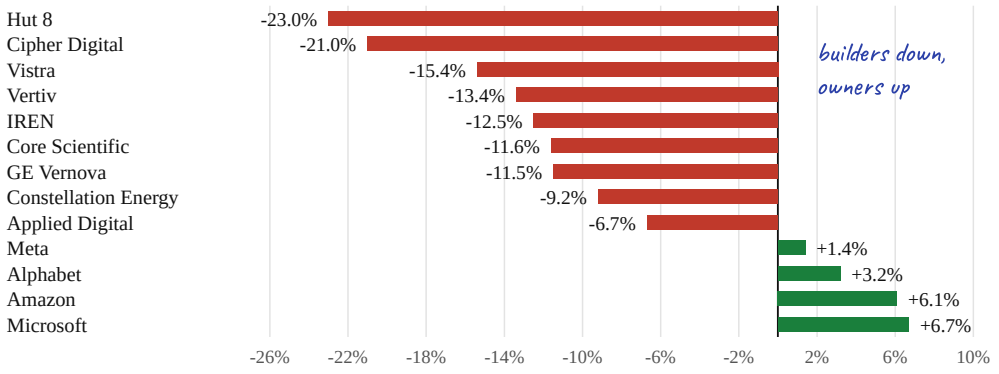
Voters on 3 November did not just change Congress. In 39 local ballot measures that have been fully counted, 38 imposed new restrictions on data centres, and three in four voters told NBC's exit poll they oppose a data centre in their community. Texas, home to about 27% of planned US capacity, elected a governor who wants a moratorium. The next day data-centre and power stocks fell as much as 23% while Microsoft and Amazon rose about 6%. This report explains the backlash, the electricity bills behind it, what was repriced and what it means for the AI trade.

Global Markets Research · Equity Strategy Desk Prepared by ANDRA MARKETS

Coverage summary. Data centres were on the ballot in about 45 local measures across ten states. By Wednesday evening, according to Redbud Consulting's tracker, restrictions had won 38 of 39 measures with a complete count, typically with about 77% of the vote; Ohio alone voted on 20, and the towns of Urbana and Hubbard approved outright bans with 76% and 77%. NBC's exit poll found 76% of voters opposed a data centre in their community and 56% said AI and data centres were a crucial or major factor in their vote for Congress. Candidates who campaigned for curbs won statewide: in Texas, governor-elect Gina Hinojosa wants an immediate moratorium on new data centres, and Senators-elect James Talarico and Abdul El-Sayed have backed pauses. Goldman Sachs estimates that Democratic statehouse wins in Texas, Michigan and Georgia could put about 45% of planned US data-centre capacity at risk from moratoria, tighter rules or lower tax incentives. Markets split the AI trade in two: builders and power suppliers fell sharply; the hyperscalers that already own capacity rose.

Measures restricting	Oppose locally	Capacity at risk	Hut 8 / Vistra
38 of 39	**76%**	**~45%**	**−23% / −15%**
completed counts (Redbud)	*NBC exit poll*	*TX, MI, GA (Goldman)*	*4 Nov*

Exhibit 1. Stock moves on 4 November (%)



Sources: Reuters via Yahoo Finance and The Star; Motley Fool (Vertiv). Closing or late-session moves; approximate.

1.0 Executive Summary

Eight takeaways

1. A near-unanimous local verdict. Restrictions won almost every local data-centre vote, from bans and 180-day pauses to caps on power use and rules requiring voter approval. The only exception so far was in Harwood, North Dakota, where the ballot did not mention data centres.

2. Electricity bills are the main grievance. Capacity prices on PJM, the largest US grid, rose more than tenfold in three auctions, adding $16 to $18 a month to bills in Ohio and Maryland; an independent monitor attributed 63% of one year's increase to data-centre demand. Some analysts blame market design rather than data centres.

3. Texas is the swing state for AI infrastructure. It holds about 27% of planned US capacity, according to Wells Fargo, and its incoming governor wants a moratorium. Michigan and Georgia also elected candidates sceptical of the industry.

4. Builders down, owners up. Hut 8 fell 23%, Cipher Digital 21%, Vistra 15%, Vertiv 13% and GE Vernova 11%; Microsoft rose 6.7% and Amazon 6.1%. Investors bet that scarcer new capacity makes existing data centres more valuable and caps Big Tech's spending.

5. Demand is not the problem. AMD reported data-centre revenue up 97% to $8.5 billion and guided above expectations the same day. The constraint on AI has shifted from chips and capital to permits, power and politics.

6. The capex plans now face a new risk. The hyperscalers guide to about $730 billion of capex in 2026 and consensus expects about $935 billion in 2027. Local permission is now an explicit risk to those plans.

7. Limits to the backlash. Most measures are local and prospective; projects already underway may continue. Federal policy and the presidential veto are unchanged, and companies can move capacity to friendlier states or abroad.

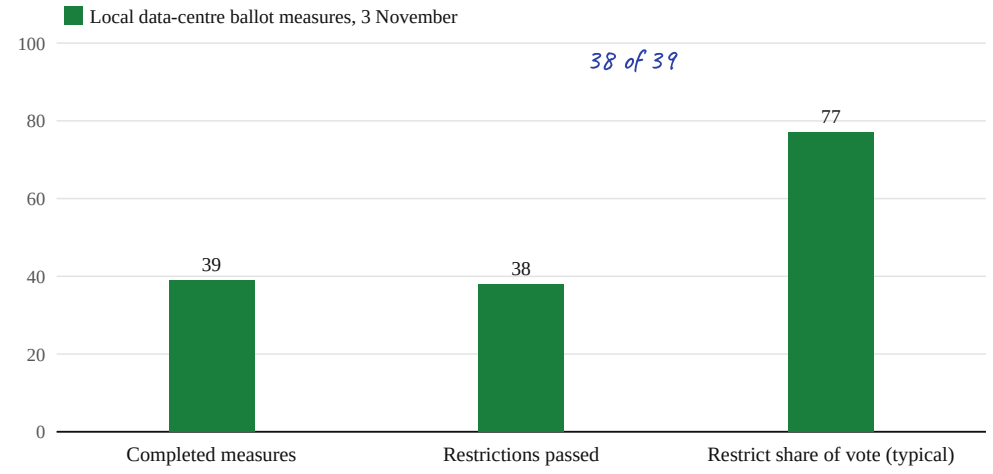
8. Our reading. The AI build-out has acquired a political cost. For investors the question shifts from how much capacity can be built to where, at what price of power, and with whose consent. That favours owners of existing capacity and power, and penalises firms whose value depends on building fast in contested places.

2.0 The Votes

What was on the ballot and how it went

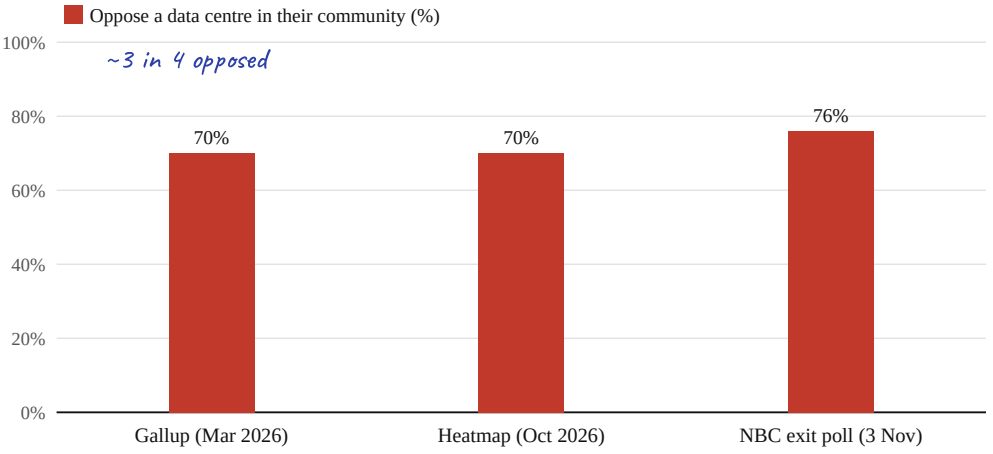
The measures varied widely: flat bans, temporary moratoria, caps on energy consumption, requirements for voter approval before construction, recalls of officials who backed projects and non-binding questions. Ohio, home to 257 data centres, had 20 such votes and restrictions won or led in every one; several Ohio cities voted to ban facilities above 25 megawatts. Edgewater, Florida amended its charter to prohibit data centres; Wells, Maine approved a 180-day pause on large facilities. Of 13 measures that would have permitted data centres, a separate tracker found 11 set to be defeated. Redbud's founder Alex Lundry summarised the night by saying that "the one thing that did even worse" than Republicans "were data centers".

Exhibit 2. Local data-centre ballot measures on 3 November



Sources: Redbud Consulting 'Data Centers on the Ballot' tracker (7:39 pm ET, 4 Nov) via ExpertBeacon and Rolling Stone; typical restrict share per Redbud.

Exhibit 3. Share opposing a data centre in their community (%)



Sources: Gallup (March 2026, 70%); Heatmap poll via Forbes (more than 70%); NBC News exit poll via The Verge (76%).

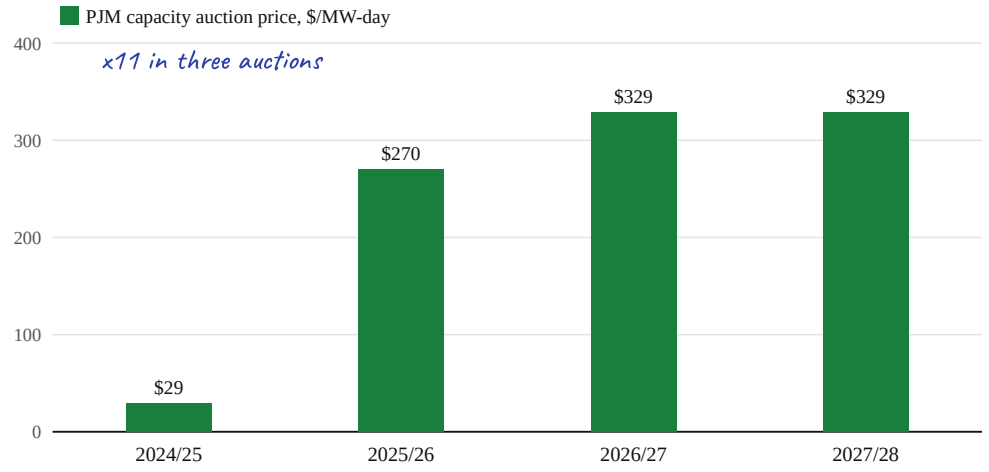
The issue also shaped statewide races. Heatmap noted that Keisha Lance Bottoms and Amy Acton won the governorships of Georgia and Ohio in part on hard lines against data centres. In Texas, Hinojosa's call for an immediate moratorium matters more than any local vote, because the state hosts about 27% of planned US capacity. Elon Musk, who spent nearly $500 million backing Republican candidates, responded after the election that "data centres in space" were looking "pretty appealing".

3.0 Why Voters Turned

Power bills, water and land

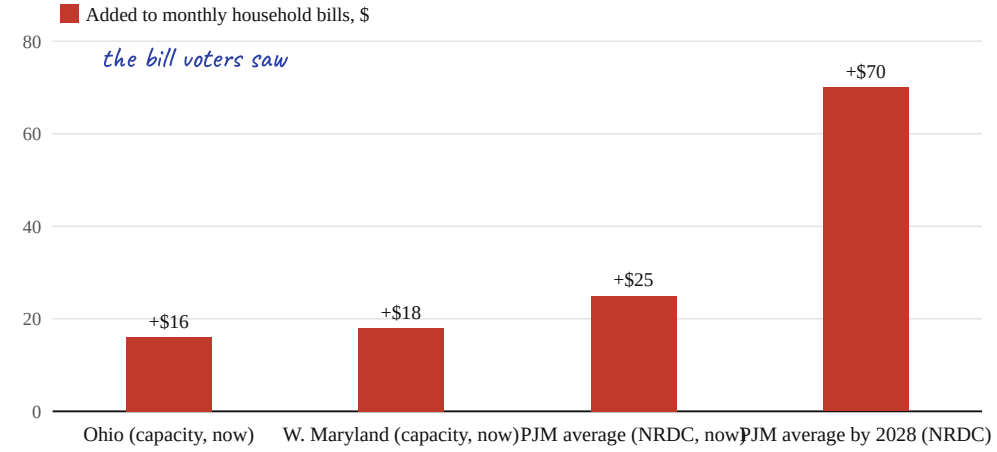
The main driver is electricity. PJM, which runs the grid for 13 eastern states and about 65 million people, sets capacity prices in annual auctions. The price rose from about $29 per megawatt-day for 2024/25 to $270 for 2025/26 and to the capped $329 for 2026/27 and 2027/28. Monitoring Analytics, PJM's independent market monitor, attributed 63% of the 2025/26 increase, about $9.3 billion, to data-centre demand. Analysts estimate the auctions add about $16 to $18 a month to average residential bills in Ohio and Maryland, and NRDC estimates average bills could rise by a further $70 a month by 2028 if demand keeps outpacing supply. PJM projects peak demand rising 32 gigawatts from 2024 to 2030, all but 2 gigawatts from data centres. Water use, land, noise and tax breaks for large projects add to local opposition. Not all analysts blame data centres: SemiAnalysis argues that PJM's auction design, not data-centre demand, drove much of the price spike, and notes that Texas's energy-only market has avoided similar capacity charges.

Exhibit 4. PJM capacity auction clearing price ($ per MW-day)



Sources: PJM via IEEFA, Utility Dive and Canary Media; 2026/27 and 2027/28 at the price cap.

Exhibit 5. Estimated additions to monthly household electricity bills ($)



+$16-18 a month

Sources: IEEFA and Forbes (Ohio, western Maryland); NRDC (PJM average now, $20-30, shown at $25; projection by 2028). Estimates vary by utility.

4.0 The Market Reaction

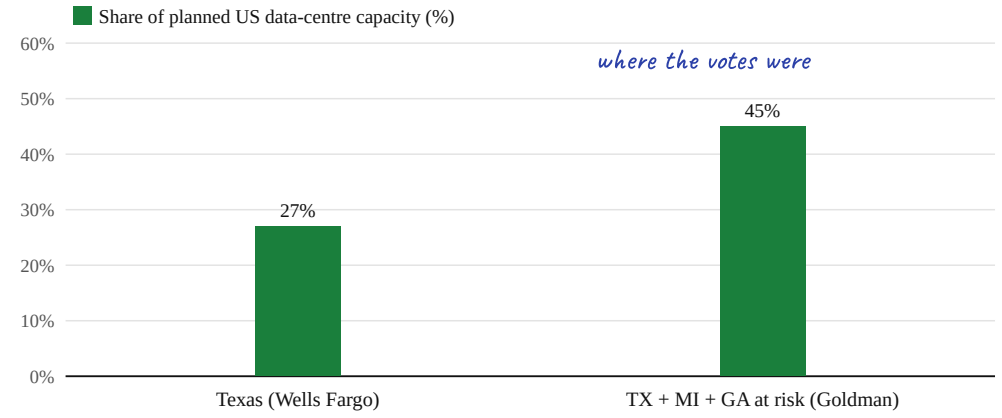
Builders down, owners up

-23% to +7%

The market drew a sharp line through the AI trade on 4 November. Companies that build or power new data centres fell: Hut 8 23%, Cipher Digital 21%, Vistra 15.4%, Vertiv 13.4%, IREN about 12%, Core Scientific about 11%, GE Vernova 11.5%, Constellation Energy 9.2% and Applied Digital 6.7%. The hyperscalers rose: Microsoft 6.7%, Amazon 6.1%, Alphabet 3.2% and Meta 1.4%. Reuters reported that investors bet a slowdown in construction could raise the value of existing assets and curb Big Tech's capex, which the market had punished after third-quarter results. Citi's Scott Chronert said that changing the pace of the build-out changes the fundamental trajectory for many suppliers. Clean-energy stocks rallied on expectations of federal support from a Democratic Congress. For the hyperscalers, a slower build-out is not obviously bad news: it reduces the capex that has pushed their free cash flow negative.

~23%

Exhibit 6. Share of planned US data-centre capacity in contested states (%)



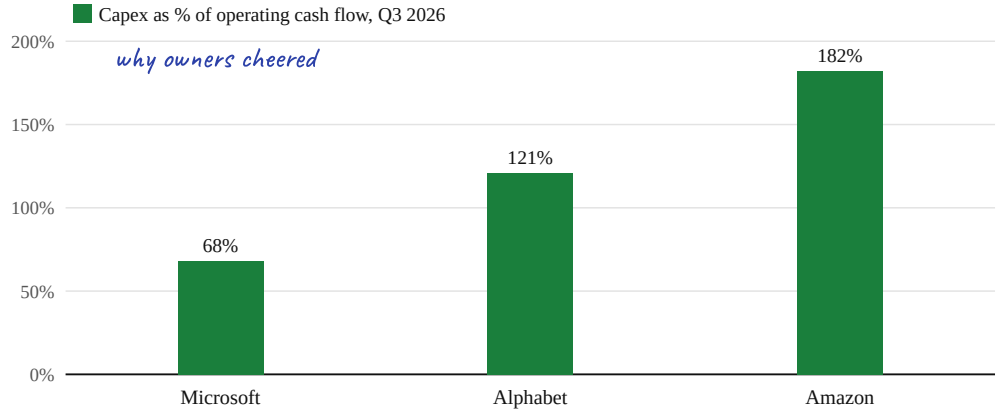
Sources: Wells Fargo via Motley Fool (Texas, ~27%); Goldman Sachs via Reuters (~45% potentially at risk across Texas, Michigan and Georgia).

~121%

The logic behind the hyperscalers' rally is visible in their cash flow statements. In the third quarter Alphabet spent 121% of its operating cash flow on capex and Amazon 182%, financing the gap with debt and equity, as Andra Markets 2026-73 described. A political brake on new construction would slow that spending, support free cash flow and raise the value of capacity already built. The companies that rent, power or equip new capacity carry the opposite exposure, and several of them had already lost a third or more of their value in October as credit tightened.

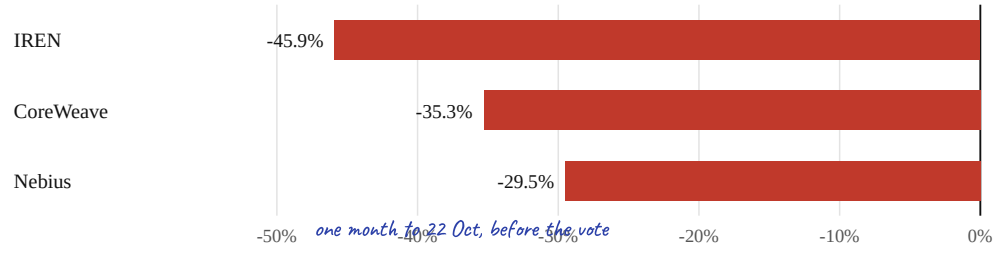
capex relief

Exhibit 7. Capex as a share of operating cash flow, Q3 2026 (%)



Sources: company cash flow statements; Andra Markets 2026-73.

Exhibit 8. Data-centre and neocloud stocks before the election: one-month change to 22 October (%)



Source: 24/7 Wall St. via Andra Markets 2026-81.

5.0 Demand Has Not Changed

AMD and the AI order book

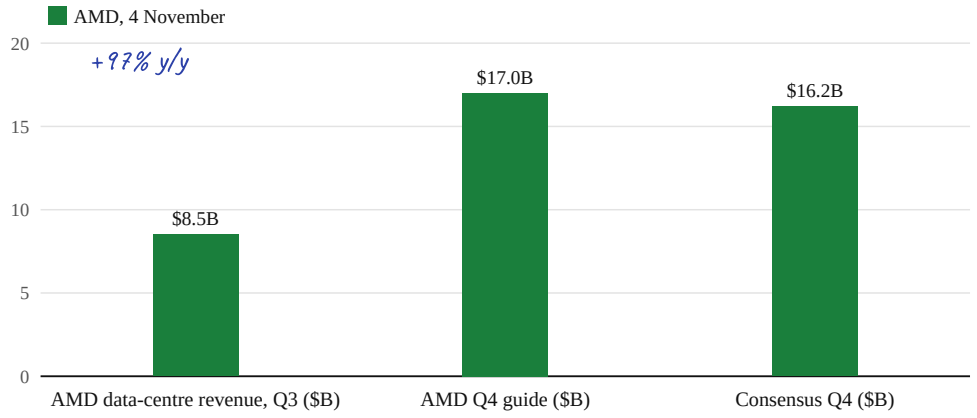
~97%

The backlash arrived on the same day as more evidence of demand. AMD reported data-centre revenue up 97% to $8.5B and guided fourth-quarter revenue to about $17 billion against a $16.2 billion consensus, with GAAP net income of $2.4 billion. Hut 8, among the day's biggest losers, reported $26.6 billion of contracted base-term value across 949 megawatts, all leased to or backstopped by

AMD +97%

investment-grade counterparties, and raised its buyback authorisation to $1 billion. The hyperscalers reported cloud growth of 39% to 103% last week. The constraint on AI has moved from chips and capital to permits and power, which is what the market priced.

Exhibit 9. AMD results and guidance ($ billion)



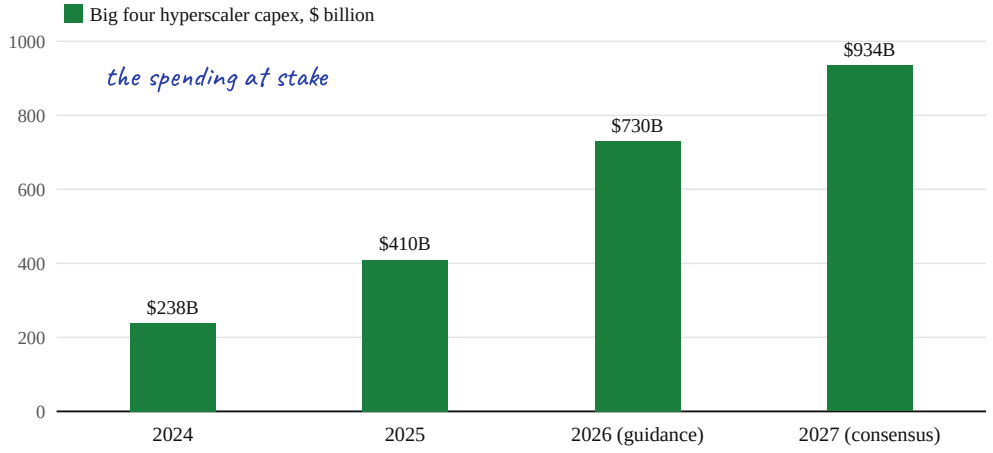
Source: AMD Q3 2026 results via Kill The AI news digest, 5 November 2026.

6.0 What It Means for the AI Capex Cycle

Where, not whether

The four largest hyperscalers guide to about $730 billion of capital spending in 2026 and consensus expects about $935 billion in 2027, much of it for data centres in the US. Several effects follow. Projects already under construction are likely to continue, but new sites face longer approvals, power-supply conditions and local votes. Capacity may shift towards states and countries with friendlier rules and cheaper power, and towards on-site generation. Developers may need to fund grid upgrades themselves, raising costs. And existing capacity, both data centres and power plants with long-term contracts, becomes scarcer and potentially more valuable. For neoclouds already squeezed by credit markets, as Andra Markets 2026-81 discussed, political risk adds a second constraint.

Exhibit 10. Big four hyperscaler capital expenditure ($ billion)



Sources: Andra Markets 2026-73 (Forbes, ValueAdd VC, FactSet via IO Fund).

Exhibit A. Winners and losers if the backlash persists, as described by analysts

Group	Why	Direction on 4 Nov
Hyperscalers with built capacity	existing assets scarcer; capex discipline	up
Data-centre developers and miners turned AI hosts	permits and power harder to secure	down sharply
Power producers in contested states	demand growth and pricing at risk	down
Electrical equipment suppliers	order growth tied to build pace	down
Clean energy	federal support from a Democratic Congress	up
Chip designers	demand intact, deployment timing at risk	mixed

Sources: Reuters, Citi, Goldman Sachs, Motley Fool, 4-5 November 2026. Descriptive, not recommendations.

7.0 The Other Side

Arguments for the build-out

jobs, tax, competitiveness

Supporters of data centres point to local tax revenue, construction jobs and the strategic importance of AI capacity for US competitiveness, and argue that new demand can finance grid investment that benefits all users over time. Industry groups note that many projects bring their own generation or pay for transmission upgrades, and that market design, not data centres alone, explains price spikes in some regions. Texas passed rules in 2025 requiring large loads to be flexible during grid stress, an approach some see as a template. The debate is moving from whether to build to who pays for the power, and the answer will vary by state.

7.5 Beyond the US

Where capacity could go

abroad, offshore, orbit

If building in parts of the US becomes slower or costlier, capacity can move. Within the country, developers can favour states with spare power and supportive rules, or co-locate with generation. Abroad, Gulf states, the Nordics and parts of Asia have courted AI data centres, although energy security, latency, export controls and data-sovereignty rules limit how much can move. Elon Musk's remark about data centres in space reflects SpaceX's ambitions after absorbing xAI, but remains far from commercial scale. For investors, location becomes part of the valuation: contracted power and permitted sites are now scarce assets in their own right.

8.0 Scenarios and Calendar

What to watch

Exhibit B. Andra Markets scenarios to end-2027

Scenario	What happens	Market channel
Managed slowdown	approvals slower; developers pay for grid; projects shift to friendlier states	owners of capacity and power gain; builders re-rate lower
Moratoria spread	Texas and others pause new projects; more local bans	AI capex guides cut; equipment orders fall
Backlash fades	cost-sharing rules and lower power prices defuse opposition	builders recover; capex plans intact

Andra Markets scenarios; no probabilities assigned. Not a recommendation on any security.

Exhibit C. Calendar

Date	Event	Why it matters
November	remaining ballot counts; local follow-up votes	scope of restrictions
17 Nov	Nvidia results	demand vs deployment
Mid-Nov	Anthropic IPO	compute commitments and US sites
January 2027	new governors take office (TX, GA, MI)	any moratorium orders
January 2027	new Congress; hyperscaler Q4 results	AI policy and 2027 capex guides
Mid-2027	next PJM capacity auction	power-price trend

Andra Markets selection.

9.0 Investor FAQ

Short answers

Will existing data centres be shut down? No measure counted so far orders closures; most restrict new or larger facilities, impose pauses or require approval. Projects already underway may continue, subject to local rules.

Does this slow AI? It slows where and how fast capacity is added in the US, not demand for AI. Chipmakers and model developers report strong demand; the constraint is deployment.

Why did Microsoft and Amazon rise? Because investors see slower construction as limiting their capex and raising the value of capacity they already own, after a quarter in which spending exceeded cash flow at Amazon and Alphabet.

Are electricity prices really caused by data centres? Partly. PJM's market monitor attributed 63% of one year's capacity-price increase to data-centre demand; other analysts point to auction design. Voters, however, connected the two.

What would change the trend? Rules that make data centres pay for new power and grid upgrades, falling power prices, or visible local benefits. These answers summarise reported views and are not recommendations.

reading: the AI build-out now has a political price. demand is intact; the binding constraint is where you can build and who pays for the power

Methodology and Source Notes

Method. This report uses ballot tracking by Redbud Consulting, polls by Gallup, Heatmap and NBC News, PJM auction data and analyses by IEEFA, Monitoring Analytics, NRDC and SemiAnalysis, market data and commentary from Reuters, Motley Fool, Citi, Goldman Sachs and Wells Fargo, and company results from AMD and Hut 8, as available on 5 November 2026. Some counts are preliminary. It takes no position on the election. Not a recommendation on any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. Redbud Consulting; Rolling Stone; Quartz; Engadget; Tom's Hardware; ExpertBeacon; The Verge (via TechFlow); Gallup; Heatmap; NBC News; Forbes; PJM; IEEFA; Monitoring Analytics; NRDC; Canary Media; SemiAnalysis; Reuters via Yahoo Finance and The Star; Motley Fool; Citi; Goldman Sachs; Wells Fargo; AMD; Hut 8 (SEC filings); Andra Markets 2026-73, 2026-81 and 2026-88.

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